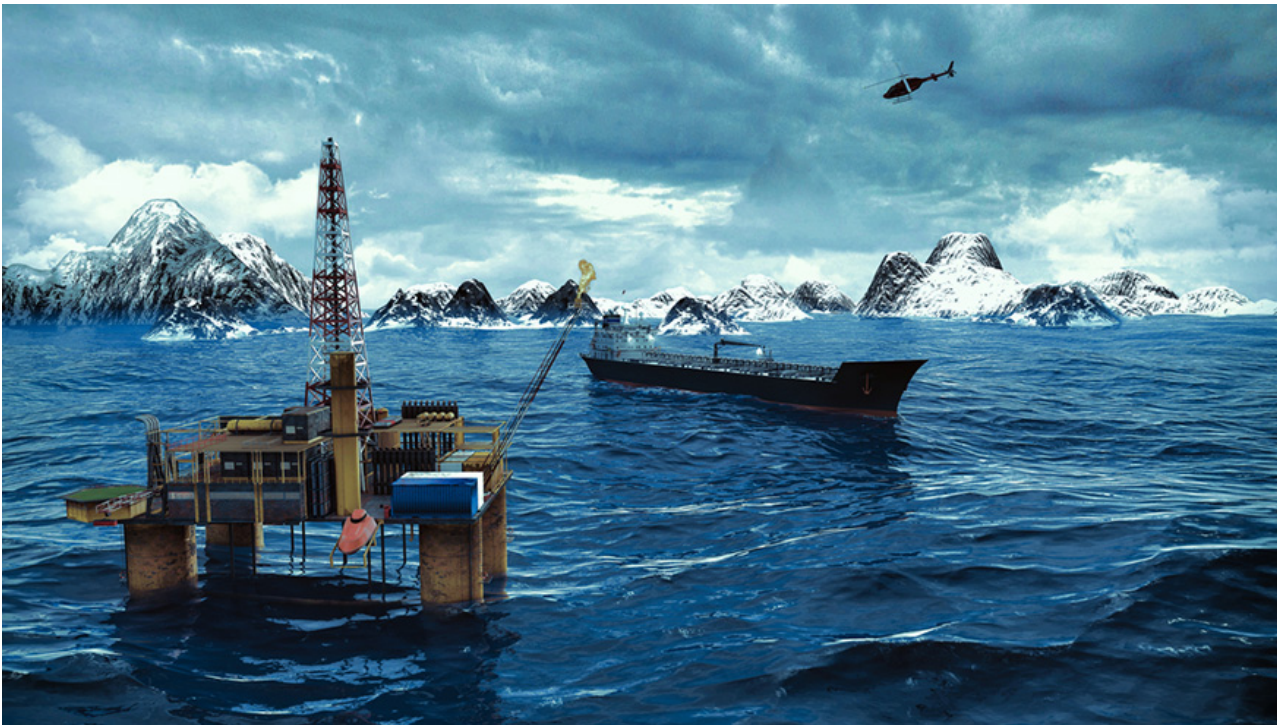


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Blog

Shell Abandons Arctic Drilling Plans at a \$7 Billion Loss

CHAZ WILKE ([HTTPS://SOLARMEHOME.COM/AUTHOR/CHAZW/](https://solarmehome.com/author/chaZW/)) / OCTOBER 5, 2015 ([HTTPS://SOLARMEHOME.COM/SHELL-ABANDONS-ARCTIC-DRILLING-PLANS-AT-A-7-BILLION-LOSS/](https://solarmehome.com/shell-abandons-arctic-drilling-plans-at-a-7-billion-loss/))



If you noticed your shoe was untied, it would take you a split second to navigate the distance down to your shoe and with half a thought you could tie it tight. Now consider how difficult it would be to tie those loose laces while riding a rollercoaster.

This is, in many ways, an accurate analogy for arctic drilling. This seemingly common and mundane action, one that the oil industry is perfectly adept at performing with not much thought, becomes increasingly difficult in the unforgiving waters of the arctic.

For years now, oil companies have circled the Arctic like vultures that hang in the sky over a dying carcass. From up there the target is clear and the execution appears easy. Political cycles have come and gone with drilling in the Arctic rising and falling in popularity. Some believe that we can unlock our energy potential with the trove of crude buried beneath the frozen tundra. Remember Sarah Palin's reductive catch phrase "Drill, baby, drill (<http://cnb.cx/1FPOWxM> target=)"?

Over the course of many years, Shell spent \$7 billion in research and exploratory drilling of the Arctic. After previously stating its confidence in the "90 billion barrels (<http://bit.ly/1Vzey8X>) of crude available" in the Arctic, Shell now announced that it is abandoning its arctic operation entirely.

"Shell will now cease further exploration activity in offshore Alaska for the foreseeable future," the oil company said. "This decision reflects both the Burger J well [the location of the planned drilling operation] result, the high costs associated with the project, and the challenging and unpredictable federal regulatory environment in offshore Alaska."

Uncertain Political, Environmental and Petroleum-Based Future

The unpredictability Shell refers to is likely in reference to the looming general election. U.S. regulatory conditions may shift a great deal after the 2016 election. Harsh sanctions and regulatory shifts may push clean energy much more aggressively if a liberal wins the presidency.

Hillary Clinton recently joined (<http://politi.co/1hlsyjL>) the ranks (<http://bit.ly/1hlsyQX>) of Martin O'Malley and Bernie Sanders as she voiced her dissent on arctic drilling. This means all potential democratic candidates for the 2016 presidential election are against oil companies drilling up north.

This is likely coupled with NASA's latest finding (<http://bit.ly/1Z3Y5sQ>) of carbon emissions to which burning fossil fuel contributes, requires immediate attention and is already destined to augment the habitable areas of coastal cities in the coming century. The public perception of risky drilling likely will continue to sway towards avoiding such risks in the future.



Ramifications of the Decision

You might think that Shell's decision to pull out of arctic drilling is an overwhelmingly positive outcome. But, residents of Unalaska, Alaska will feel the pinch. The coastal city benefitted from an optimistic jobs prospect with Shell looking to hire for the now-abandoned operation.

Unalaska Mayor Shirley Marquardt explained (<http://bit.ly/1Vzffz9>) that her town's citizens and businesses will feel Shell's departure. "Our business community will notice it because they utilized a lot of local businesses and hired a lot of folks. So, that's too bad. I mean it was a real boon," she said in a September 30 radio interview.

This is not to say that the town will implode. Marquardt quickly added, "It's not going to be too huge, I mean, we're an extremely busy port, we've been expanding for years, and that's not going to end."

Takeaway

Given the continued runaway success of renewable clean energy it appears likely that Shell just might have seen the difficulty in drilling inhospitable locales for oil as a sign that crude is not the future of energy on this planet. Losing \$7 billion on a bad bet must sting, regardless of Shell's comfortable profit margins (<http://bit.ly/1Wlqq5R>).

Arctic drilling protesters (<http://on.msnbc.com/1MUmMRI>) have their victory, and the Arctic is safe from a potentially catastrophic oil spill for the time being. Perhaps news of a major oil company abandoning a major drilling project might be the push everyday Americans need to embrace the awesome energy potential in the sun's golden rays. Time will tell.

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